

VWAP Reclaim Value Reclaim v2

TradingView Tutorial and Operating Manual

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Prepared for TradingView Pine Script implementation and backtesting. This material is educational and is not financial advice.

What changed in v2

The first version entered when price dipped below session VWAP and reclaimed it. Version 2 keeps that core idea, but adds a research-informed signal stack designed to reduce low-quality reclaims, late-day VWAP lag, and optimistic backtests. The script file is **vwap_reclaim_value_reclaim_v2.pine**.

Upgrade	Why it was added	Where to control it
Opening range context	A reclaim is more meaningful if it occurs above the opening range midpoint or high instead of inside early-session noise.	2) Reclaim Entry - Opening range filter
Retest-confirmed entry mode	Immediate crosses can fail in chop. Retest mode arms on the reclaim, then requires a VWAP hold and break of the trigger high.	2) Reclaim Entry - Entry mode
VWAP slope and ADX/DMI	VWAP by itself is lagging. Slope and ADX/DMI help separate active trend recovery from flat churn.	3) Regime Filters
RVOL and ATR% filters	Volume and volatility context help avoid dead tape and extremely unstable conditions.	3) Regime Filters
Market proxy filter	For equities, an individual long setup has better context when the benchmark is not under its own daily EMA.	3) Regime Filters - Market proxy
Risk filter and R management	The strategy blocks trades with stops that are too tight or too wide, scales out at TP1, moves to breakeven, and trails the runner.	4) Risk / Exits and 5) Sizing
Backtest realism settings	Commission, slippage, Bar Magnifier, and limit-fill verification are enabled in the strategy declaration.	TradingView Strategy Properties can be adjusted after loading

Installation

- 1 Open TradingView and load a liquid intraday chart. For US equities, start with a 5-minute or 15-minute chart using regular trading hours.
- 2 Open Pine Editor, create a new script, paste the contents of **vwap_reclaim_value_reclaim_v2.pine**, and save it.
- 3 Click **Add to chart**. The script should appear as a strategy with VWAP, VWAP bands, opening range levels, stop lines, target lines, signal markers, and an optional dashboard.
- 4 Open the strategy settings. Verify the sessions match your market. The defaults are US equity regular hours: VWAP 09:30-16:00, opening range 09:30-09:45, entry 09:45-13:30, and flat window 15:50-16:00.
- 5 Set TradingView chart time zone and session display deliberately. The script uses Pine session strings, but chart settings can still affect how bars are displayed.

Recommended first test

Start with defaults. They are intentionally balanced rather than maximally strict. Then run two comparisons: one with **Entry mode = Immediate close reclaim** and one with **Entry mode = Retest-confirmed**. Immediate mode usually produces more trades. Retest mode usually produces fewer but cleaner trades.

Suggested first chart: 5-minute or 15-minute timeframe. Suggested symbol universe: high-liquidity instruments with consistent intraday volume. Avoid thin names until you have verified slippage sensitivity.

Strategy workflow

The algorithm is best understood as a staged filter. A bar can only become a long setup after it passes every active layer below. The retest mode adds a temporary armed state between base reclaim and entry.

State	What the script tracks	How the state advances
Below value	Bars below VWAP, most recent qualifying dip, and optional lower-band sweep.	A reclaim close must cross back above VWAP after this state exists.
Base reclaim	VWAP cross, close buffer, candle location, previous-high break, no-chase rule, OR filter, regime filters, and risk gate.	Immediate mode enters here. Retest mode stores the trigger high and arms.
Retest armed	The reclaim high, arm bar, and whether a VWAP hold has occurred.	Entry occurs only after a VWAP hold and close above the stored reclaim high before timeout.
Open trade	Initial stop, active stop, entry reference price, highest high since entry, TP1 status, and breakeven status.	The stop trails only upward. TP1, final target, time exits, trend exits, or stop exits can close the trade.

Signal checklist

Layer	Condition	Purpose
Value sweep	Price must dip below VWAP by at least the configured percentage, optionally touching the lower VWAP band.	Prevents buying every shallow VWAP touch.
Time below value	Price must spend a minimum number of bars below VWAP before reclaiming.	Filters noise crosses.
Reclaim candle	Close must cross back above VWAP, close above a buffer, close in the upper part of the candle, and optionally close above the previous high.	Requires acceptance back above value, not just a wick.
No chase	The trigger close cannot be too far above VWAP.	Avoids entering after the reclaim has already extended.
Opening range	Optional: close above OR midpoint or OR high.	Adds early-session structure.
Regime	HTF EMA, proxy EMA, VWAP slope, ADX/DMI, RVOL, ATR%, and gap filters must pass if enabled.	Keeps the strategy aligned with momentum, participation, and volatility.
Risk	Initial stop must create an R distance inside min and max risk limits.	Blocks impractical setups.

Entry modes

Immediate close reclaim enters on the qualifying reclaim close. Use this when you want more participation and are willing to tolerate more failed reclaims.

Retest-confirmed is a state machine: the reclaim arms the setup, a later bar must hold VWAP within the retest buffer, and then price must close above the reclaim trigger high. This reduces entries in noisy crosses but can miss V-shaped moves.

Retest mode pseudo-logic

1. Base reclaim passes all filters.
2. Strategy stores the reclaim bar high and arms the setup.
3. A later bar must touch or approach VWAP and close back above it.
4. Entry occurs only after price closes above the stored reclaim high before the retest timeout.

Input guide

Input group	Key settings	Practical guidance
Sessions / Value	VWAP session, entry window, opening range, flat window, session days	For US stocks, keep defaults initially. Futures, crypto, and international markets need custom sessions.
Reclaim Entry	Min dip, bars below VWAP, close buffer, max chase, close location, lower-band requirement, OR mode	Tighten these to reduce trades. Loosen only after out-of-sample testing.
Regime Filters	HTF EMA, proxy, VWAP slope, ADX/DMI, RVOL, ATR%, gap filter	Keep several filters enabled. Disable proxy only when the chosen market has no useful benchmark.
Risk / Exits	Stop basis, ATR buffer, scale-out, TP1, breakeven, trail mode, overnight hold	For day trading, disable carryOvernight. For swing attempts, keep overnight enabled and use trend-break exits.
Sizing	Default strategy size or risk-based shares/contracts	Default size is easier. Risk-based mode sizes by initial stop distance using strategy equity and point value.
Visuals	Bands, opening range, signals, dashboard	The dashboard helps diagnose why a trade was blocked.

Detailed tuning dictionary

Setting	Default role	Tighten when	Loosen when
minDipPct	Requires a real dip below VWAP before reclaim.	You see many shallow whipsaws.	You miss fast reclaim moves on strong names.
minBarsBelowVwap	Requires time spent under value.	One-bar fakeouts are common.	Momentum names reclaim quickly after brief flushes.
minCloseLocation	Requires the close near the top of the candle.	Signals have weak closing pressure.	You want more trades and accept weaker candles.
maxChasePct	Keeps entries close to VWAP.	Trades trigger after extended candles.	Strong names move too quickly away from VWAP.
openingRangeMode	Adds early-session structure.	Reclaims fail below OR supply.	The strategy misses midday reclaims that never clear OR high.
minRvol	Requires above-normal participation.	Dead tape causes failed signals.	Your universe has naturally lower volume.
minAdx	Requires trend strength.	Range-bound noise is frequent.	The setup works as a mean-reversion reclaim in your market.
maxInitialRiskPct	Blocks trades with stops too far away.	Losses are too large or position size is too small.	Volatility is high and stops need room.
trailAtrMult	Controls runner stop distance.	Profits give back too much.	You are stopped before swing continuation.

Preset starting points

Use case	Settings	Notes
Balanced intraday-to-swing	Use defaults. Entry mode: Immediate. Opening range: Above OR Mid. HTF trend: on. RVOL: 1.20. ADX: 18.	Good first diagnostic profile.
Conservative swing	Entry mode: Retest-confirmed. Require lower band touch: on. Opening range: Above OR High. RVOL: 1.40-1.60. Max entries: 1. Carry overnight: on.	Fewer trades, stronger confluence.

Use case	Settings	Notes
Pure intraday	Carry overnight: off. Flat window: 15:45-16:00 or earlier. Close on VWAP failure: on. Final target: optional 2R-3R.	Prevents swing exposure.
Fast momentum reclaim	Opening range: Off or Above OR Mid. ADX: 20+. Require close above previous high: on. Max chase: 0.75.	Captures stronger V-shaped moves but can chase if too loose.

Backtesting protocol

A strong backtest is not the goal. A robust process is the goal. The script already includes 1 tick of slippage, 0.01% commission, Bar Magnifier, order-on-close processing, and limit-fill verification. You should still vary those assumptions in TradingView Strategy Properties.

- 1 Benchmark v1 versus v2 on the same symbols and dates. Keep the same chart timeframe and cost assumptions.
- 2 Divide testing into in-sample and out-of-sample windows. Do not tune on the final holdout window.
- 3 Test at least three market regimes: uptrend, downtrend, and range/chop. A VWAP reclaim strategy can look excellent in one regime and weak in another.
- 4 Track trade count, net profit, max drawdown, profit factor, average R, win rate, average winner/loser, exposure time, and largest loss in R.
- 5 Run sensitivity tests. For example, change minDipPct, minRvol, minAdx, maxChasePct, and entryMode. Robust strategies degrade gradually; fragile strategies collapse when inputs move slightly.
- 6 Forward test with alerts before live use. Verify fills, slippage, and whether the strategy's close-based signal timing matches your execution workflow.

Risk-based sizing walkthrough

Risk-based mode calculates quantity from strategy equity, the selected risk percentage, stop distance, and syminfo.pointvalue. Example: if strategy equity is 100,000, riskPerTradePct is 0.50%, and the initial stop distance is 2.00 on a stock with point value 1, the capital at risk is 500 and the raw position size is 250 shares. If the raw size is below minQty, the strategy blocks the trade instead of forcing a minimum size.

Quantity step	Formula
Capital at risk	strategy.equity x riskPerTradePct / 100
Per-unit risk	entry price - initial stop, multiplied by syminfo.pointvalue
Quantity	floor(capital at risk / per-unit risk)
Block condition	quantity < minQty or proposed risk outside min/max risk percentage

Dashboard interpretation

The dashboard is a diagnostic tool. It does not predict trades; it shows which filters are currently passing. When no trades appear, the dashboard is the fastest way to identify whether the blocker is trend, VWAP slope, ADX/DMI, RVOL, ATR%, opening range, or risk percentage.

Dashboard row	What to check
Trend	If blocked, price or the higher-timeframe close is below the HTF EMA, or the EMA slope requirement is not met.
VWAP slope	If blocked, session VWAP is not flat-to-up by the configured slope lookback.

Dashboard row	What to check
ADX/DMI	If blocked, trend strength is below minAdx or +DI is not greater than -DI.
RVOL	If below threshold, participation is too low for the current setting.
ATR%	If blocked, volatility is either too low or too high.
OR	If blocked, price has not cleared the selected opening range level.
Risk%	If blocked, the proposed stop creates risk outside your min/max bounds.

Walk-forward testing checklist

- 1 Pick a universe and timeframe before tuning.
- 2 Tune only broad zones on the development segment, such as RVOL 1.1-1.5 or ADX 16-24.
- 3 Move forward to the next segment and use the same parameter zone, not a new curve-fit optimum.
- 4 Save the final holdout for last. Do not change the script or parameters after viewing holdout results.
- 5 Repeat with higher slippage and commission to determine whether the strategy depends on perfect fills.

Alerts

The script includes two alertconditions: **VWAP reclaim long** and **VWAP reclaim retest armed**. For automation, TradingView order-fill alerts are usually preferable because they are tied to simulated strategy orders. For discretionary review, the setup alerts are easier to monitor.

Troubleshooting

Symptom	Likely cause	Fix
No trades	Too many filters are blocking signals, the chart is not intraday, sessions do not match the market, or the OR filter requires a level that has not formed.	Use the dashboard. Temporarily set opening range filter to Off and disable proxy, ADX, or lower-band requirement for diagnosis.
Trades enter too late	Retest-confirmed mode or OR High requirement is too strict.	Switch to Immediate mode or use Above OR Mid.
Too many chop trades	Minimum dip, bars-below-VWAP, ADX, RVOL, and close-location settings are too loose.	Increase minBarsBelowVwap, minDipPct, minRvol, or minAdx; enable Retest-confirmed mode.
Stops are too tight	Stop basis or ATR buffer too small.	Use Structure + ATR, increase stopAtrMult, and increase minInitialRiskPct.
Stops are too wide	Volatility is high or swingLookback is too broad.	Lower maxInitialRiskPct, tighten swingLookback, or enable ATR% max filter.

Operational reminders

- This is a long-only strategy template, not a signal service.
- The strategy is most appropriate for liquid instruments where VWAP and relative volume are meaningful.
- Do not optimize for the best historical result. Prefer broad parameter zones that remain acceptable across different time periods.
- Paper trade alerts before committing capital.

FAQ

Question	Answer
Why are there fewer trades than v1?	Version 2 blocks weak crosses with additional filters. Disable one filter at a time to understand which layer is responsible.
Should I always use Retest-confirmed mode?	No. Retest mode is cleaner but slower. Immediate mode may suit very liquid momentum names. Compare both out of sample.
Can this be used on futures or crypto?	Yes, but sessions, point value, volume behavior, and proxy filters must be adjusted. For 24-hour markets, define a deliberate value session.
Why use an opening range if this is a VWAP strategy?	The opening range is not the signal. It is a structural filter that helps avoid reclaims occurring below early-session supply.
Does Bar Magnifier guarantee realistic fills?	No. It improves historical fill simulation when lower-timeframe data is available, but it is still a backtest model.
Where is the full code?	Use the separate Pine file: <code>vwap_reclaim_value_reclaim_v2.pine</code> .

References

ID	Source	Use in this work
R1	TradingView Pine Script v6 User Manual - Strategies https://www.tradingview.com/pine-script-docs/concepts/strategies/	Pine strategies simulate trades across historical and realtime bars and support backtesting, order placement, and performance analysis.
R2	TradingView Pine Script v6 User Manual - Other timeframes and data https://www.tradingview.com/pine-script-docs/concepts/other-timeframes-and-data/	TradingView documents that non-repainting higher-timeframe requests should use confirmed past-bar expressions, such as <code>close[1]</code> , with <code>barmerge.lookahead_on</code> .
R3	TradingView Pine Script v6 User Manual - Sessions https://www.tradingview.com/pine-script-docs/concepts/sessions/	<code>time()</code> can test whether bars are inside time-based sessions; <code>input.session()</code> lets users configure session times.
R4	TradingView Pine Script v6 User Manual - Strategy order fills, Bar Magnifier, slippage https://www.tradingview.com/pine-script-docs/concepts/strategies/	TradingView documents Bar Magnifier, <code>process_orders_on_close</code> , slippage, and order-fill assumptions for more realistic strategy simulations.
R5	Konishi, H. - Optimal slice of a VWAP trade https://www.sciencedirect.com/science/article/abs/pii/S1386418101000234	VWAP is described as volume-weighted average price over a trading period and as an industry-standard benchmark.
R6	Busseti, E. and Boyd, S. - Volume Weighted Average Price Optimal Execution https://arxiv.org/abs/1509.08503	VWAP is studied as an execution benchmark, and volume uncertainty is a central execution problem.
R7	Bialkowski, J., Darolles, S., and Le Fol, G. - Improving VWAP strategies: A dynamic volume approach https://www.sciencedirect.com/science/article/abs/pii/S0378426607003226	The paper argues that modeling intraday volume dynamics can reduce VWAP execution risk.
R8	Investopedia - Volume-Weighted Average Price https://www.investopedia.com/terms/v/vwap.asp	VWAP is a single-day, lagging indicator; it is useful for liquidity and average traded price context but is not predictive by itself.
R9	IG - Relative Volume Indicator https://www.ig.com/uk/trading-strategies/what-is-the-relative-volume-indicator-and-how-do-you-use-it-when-230904	Relative volume compares current stock volume with average traded volume; high RVOL can signal more liquidity and volatility potential.
R10	Fidelity - Average directional index: ADX https://www.fidelity.com/viewpoints/active-investor/average-directional-index-ADX	ADX is used to evaluate trend strength, which can help determine whether momentum is behind a move.
R11	Holmberg, U., Lonnroth, J., and Lundstrom, C. - Assessing the profitability of intraday opening range breakout strategies https://www.sciencedirect.com/science/article/abs/pii/S1544612312000438	The paper reports that opening-range breakout performance was not robust across subperiods, supporting careful regime testing.
R12	Bailey, D. H., Borwein, J., Lopez de Prado, M., and Zhu, Q. J. - The Probability of Backtest Overfitting https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2326253	The authors present a framework for estimating the probability that investment backtests are overfit.
R13	Bailey, D. H. and Lopez de Prado, M. - The Deflated Sharpe Ratio https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2460551	The authors describe selection bias and non-normal returns as sources of inflated performance expectations.